

MKT 9737 Marketing Analytics
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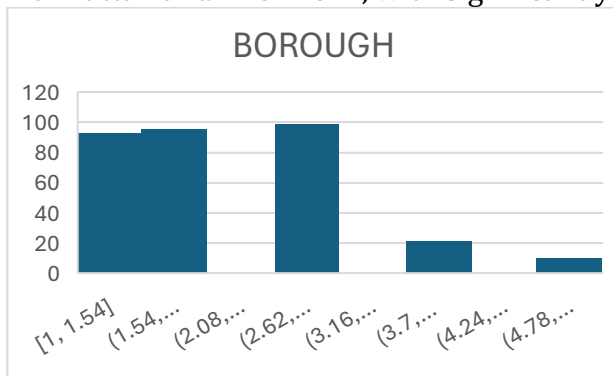
Group Project Proposal:

Using the NYCHA Development Data Book, can we determine when and where it's profitable to build affordable housing? (gross revenue only, excluding other non-included data like capital and construction costs)

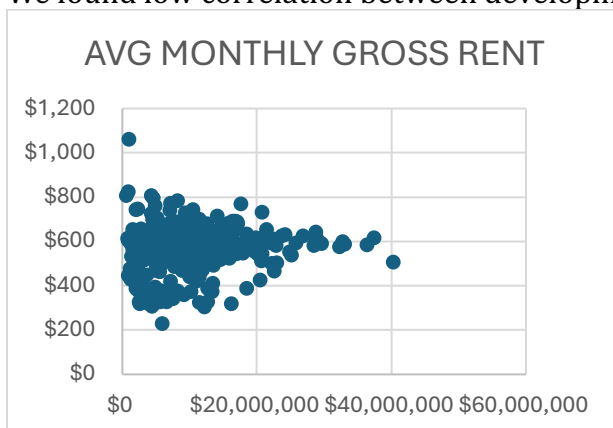
Independent variable: Development costs

Dependent variable: Average monthly gross rent

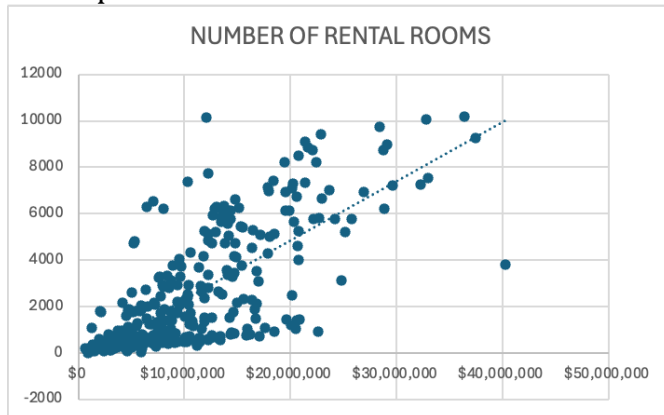
The mean of development costs per rental room across all categories is \$8,101.01, the median is \$5,099.50, and the mode is \$4,277.00. We noticed the most developments in Manhattan and The Bronx, with significantly less activity in Queens and Staten Island.



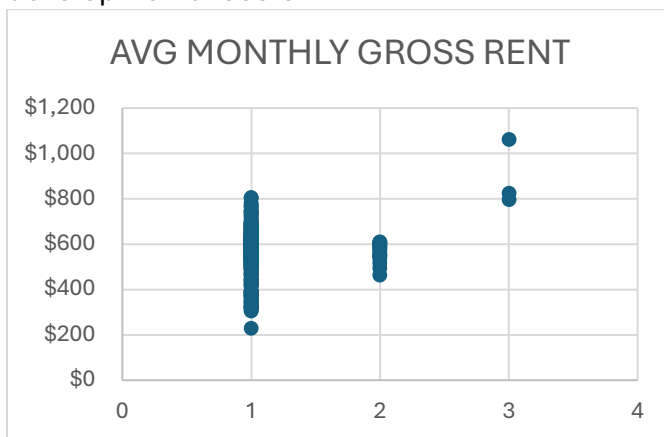
We found low correlation between development costs and average gross rent



We did confirm a hypothesis that more rental rooms developed correlates with higher development costs.



When looking at revenues, we considered 3 financial programs that developers use and found that MHOP (3) units command the highest rental prices while boasting lowest developmental costs



Queens is the most attractive borough by having the highest number of rehabilitation projects (lower developmental costs) while commanding average or above average rents. Multi-Family Home Ownership Programs (MHOP) are the most cost-effective and command the highest average gross rents, but there are fewer of these programs available. We recommend focusing on new construction under the MHOP program or focusing on rehabbing existing buildings in Queens to leverage low competition and high margins.